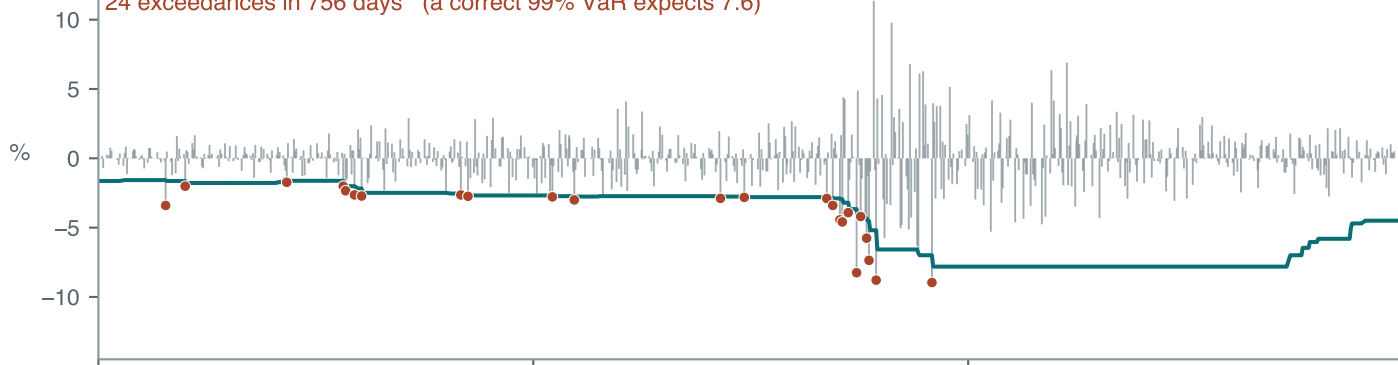


Historical simulation, trailing 250 days

24 exceedances in 756 days (a correct 99% VaR expects 7.6)



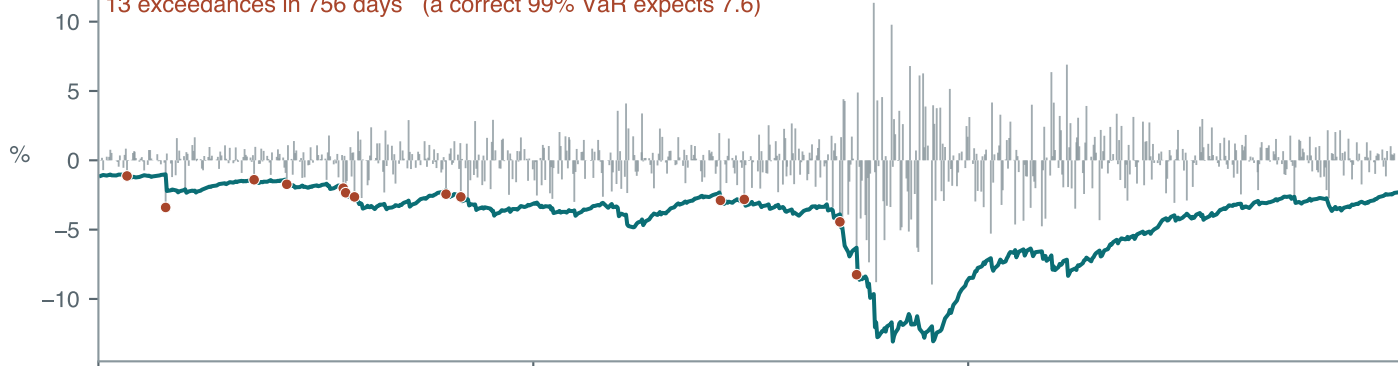
Normal distribution, EWMA volatility (RiskMetrics, decay 0.94)

18 exceedances in 756 days (a correct 99% VaR expects 7.6)



Filtered historical simulation (EWMA volatility, 1000 days of residuals)

13 exceedances in 756 days (a correct 99% VaR expects 7.6)



Jan 2007

Jan 2008

Jan 2009

Jan 2010

Bars: daily return of the US equity market. Line: minus the 99% one-day VaR forecast made the evening before.
Dots: days the loss exceeded the forecast. Data from the Kenneth R. French data library.